Standard Engineering Technology Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Hyderabad maker of glass-lined reactors, heat exchangers and other process equipment for pharma, chemical and biotech plants, which now also sells turnkey engineering and is setting up an AI data-centre equipment arm (GScale). Formerly Standard Glass Lining Technology; listed in January 2025.

Number	Value	What it means
Market cap	₹6,614 cr	What the whole company is worth on the stock market today.
Stock P/E (Screener)	142	Very expensive on the profit Screener shows; Screener's quarterly table looks standalone, so the group P/E is lower, but the stock still prices in a lot of growth.
H1 FY27 group revenue	₹544 cr, up 53%	Sales in the first six months per management, more than half again of last year.
H1 FY27 group PAT	₹55 cr, up 32%	Profit grew slower than sales because cash spent on two stake buys stopped earning deposit interest.
FY26 group revenue / PAT	₹793 cr / ₹83 cr	Last full year, sales up about a quarter.
ROCE / ROE	8.7% / 6.7%	Low returns on capital so far, partly because a lot of IPO cash sat idle in deposits.
Order book	About ₹1,000 cr	Roughly a year of core sales already booked.

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY25	12 Feb 2025	Yes (first call after IPO)
Q4 FY25	23 May 2025	Yes
Q1 FY26	4 Aug 2025	Yes
Q2 FY26	6 Nov 2025	Yes
Q3 FY26	5 Feb 2026	Yes
Q4 FY26	15 May 2026	Yes
Q1 FY27	6 Aug 2026	Yes
Q2 FY27	5 Nov 2026	Yes, read in full

Eight calls, every one since the January 2025 listing, about two years. Older calls read for promises and guidance; the latest read in full.

Latest concall highlights: Q2 FY27 (5 Nov 2026)

- Revenue ₹297 cr, up 62% on last year; EBITDA (operating profit) ₹51 cr, up 80%. Operating profit grew faster than sales, so the core business is getting more profitable.
- Profit after tax up only 38% because about ₹125 cr of deposits went into stakes in GScale Energy and Japan's GL Hakko and stopped earning interest.
- FY27 guidance held: core business up about 50% plus over ₹250 cr from GScale in Q4, about ₹1,450 cr in total. First half already ₹544 cr.
- Order book about ₹1,000 cr, with CDMO (contract drug makers) the main source of new orders.
- GScale's data-centre cooling pipe line slipped from end-November to 15 December; power products from 15 January. No signed data-centre customer yet, only tenders and more than ten enquiries.

Business mix & capacity

Domestic vs export: Exports expected at 7-8% of FY27 revenue, so over 90% of sales are in India. Management targets 20-30% exports in two to three years.

Capacity use: Utilisation not given. Core plants cover about 8 lakh sq ft with 3-4 lakh sq ft more being added; GScale has 2.9 lakh sq ft going live in January and a far larger greenfield site planned.

3. Earning Trigger thesis

The earnings engine today is the core business: Indian CDMO and specialty-chemical companies are building plants, and SETL wants to supply the whole job, from design to equipment to commissioning, after buying Scigenics and C2C Engineering. That is already showing: sales up more than half in the first half on a ₹1,000 cr order book. The second, unproven engine is GScale, a data-centre cooling and power-equipment business that hasn't sold anything yet but is supposed to deliver over ₹250 cr in its first quarter.

Trigger	What management said	Evidence so far	Time horizon	Strength
CDMO and pharma plant orders	Visibility for future orders is very strong; core to grow 40-50% in FY27	H1 revenue up 53%; order book ~₹1,000 cr	FY27-FY28	Strong: already in the numbers
Turnkey engineering (Scigenics, C2C)	One company from concept to commissioning	Both deals closed and integrated in FY26	Ongoing	Moderate: helps win bigger jobs, margin effect unclear
Glass-lined heat exchangers (GL Hakko)	Game-changer, ₹2,000 cr Indian market	200+ units ordered, 100 delivered by Feb 2026	Now	Moderate
GScale data-centre products	Over ₹250 cr revenue in Q4 FY27	Plant still being installed, slipped two weeks; no signed order	Q4 FY27 onward	Unproven
Exports through IPP	Will significantly boost exports	Still only 7-8% of sales, down from the 15% cited in Feb 2026	2-3 years	Weak so far

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Net debt-free since FY25; nothing new on debt.
New business	Yes	Entered AI data-centre infrastructure via up to 51% of GScale Energy (Aug and Nov 2026).
Margin up	No	Management says margins rose slightly and core should reach 20% in coming years, but Q4 FY26 saw raw-material pressure; not claimed as a clear expansion.
New management	No	Japanese executive director from GL Hakko joined the board (May 2026); no CEO/CFO change.
New capacity	Yes	GScale cooling-pipe line from 15 Dec 2026, power products from 15 Jan 2027; 3-4 lakh sq ft more for core (Nov 2026).
Big orders	Yes	About ₹1,000 cr order book, ₹600 cr booked in H1 and ₹600 cr targeted in H2 (Nov 2026).
Turnaround	No	Not applicable.
Promoter buying	No	Not mentioned.

The single concrete driver: CDMO and pharma companies building new plants are giving SETL big turnkey and equipment orders, lifting core sales by about half this year.

3c. Margin bridge

Group EBITDA margin is about 17% now, a touch better than a year ago as sales grew faster than costs, after a dip in Q4 FY26 from costlier steel and extra hiring. The FY26 target was 18-20% and it came in lower. Management sees core reaching 20% over the coming years (lasting, if the operating gains hold).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25 (Feb/May 2025)	FY26 revenue growth 20-25%, EBITDA margin 18-20%	Revenue up ~27%; margin 17.4%	Partly
May 2025	Heat-exchanger line running in Q4 FY26	200+ ordered, 100 delivered by Feb 2026	Delivered
Feb 2025 / Feb 2026	IPP deal to boost exports; exports at 15%	Exports now guided at only 7-8% of FY27 sales	Missed
Nov 2025	Second half FY26 to be among the best ever after ₹40-45 cr exports deferred	Q3 and Q4 FY26 were records	Delivered
Aug 2026	Core up 40-50% in FY27 to ~₹1,200 cr	H1 up 53%	Too-early (on track)
Aug 2026	GScale plant on schedule, ₹250 cr in FY27	Line now 15 Dec instead of end-Nov; no order signed	Too-early (slipping)

Narrative drift: The core numbers have mostly come through, but the story has changed a lot in under two years: from a glass-lining equipment maker, to a turnkey engineering company, to a two-engine company with an AI data-centre arm. Tone is very promotional ('record after record'), and big round targets come quickly. The export story has quietly shrunk.

5. Bottom line

Durable earning trigger? → YES

The core business has a real, named driver in CDMO plant building, and it is in the results: first-half sales up more than half with a year of orders in hand. The data-centre arm is a separate bet that adds upside only if it actually starts selling, and it hasn't yet.

Management consistent? → MAYBE

Revenue promises have broadly been met, but the margin target was missed, the export story has been walked back, and the GScale start has already slipped by a couple of weeks. A very fast-changing story plus loud targets calls for caution.

6. Checkpoints for next quarter

- GScale cooling-pipe line starts selling by mid-December
- GScale signs its first data-centre order
- Core revenue keeps growing at around half for the year

This is not investment advice. Do your own due diligence.